assets goes up. The urge to drive up asset prices, driven by greed, the real characteristic of animal spirits, often takes over the mind.

Indian share markets have seen this many a time since Independence, with outright fraud often used to play the valuation game—from the Mundra affair in the 1950s where LIC was conned for a higher valuation of shares sold and pledged and Harshad Mehta, who defrauded SBI to lend crores of rupees without any collateral or security, to Ketan Parekh, who manipulated the stock market. Insider information, false tips, driving up prices of penny stocks, fake pledge of shares and many other dirty tricks have been employed to manipulate the markets and valuation of shares for gains. Such gains never help channel investment to productive ventures.

Similar valuation games have been played in the real-estate market. House prices have been manipulated to generate extraordinary returns on residential properties. Such returns attracted a lot of speculative interest from individuals, households and even businesses, who diverted their business resources into land and house investments. Fraud has been used to achieve this objective as well.

Developed countries are acutely in the grip of the valuation game. As their economies have matured and much of the required infrastructure, manufacturing, technology and real estate have been constructed, there are not enough opportunities to channel savings in these productive activities. Rising incomes have made household savings rise significantly. This situation is driving down interest rates. So many bonds in Japan, Europe and other industrialized countries are negatively priced, indicating that there is no real investment demand or that supply of funds exceeds demand. Further, the central banks in these countries play the game of easing up money supply, quantitative easing and many other instruments. The real effect of all these is to throw costless money to businesses and households. Not finding a good opportunity to invest in the host countries, these